

Systemic issues in HMRC Real Time Information (RTI) data collection and customer experience when seeking resolution

CIPP Report

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Dear Sirs / Madams

Introduction

The Chartered Institute of Payroll Professionals (CIPP) has a strong and historic relationship with HM Revenue and Customs (HMRC) as a 'critical friend'. In the policy team's role, they regularly get feedback and comments from members and other payroll professionals regarding the service HMRC provides. Where possible, we provide this feedback in the effort of improving HMRC's services and building trust, both in HMRC as an organisation and in the relationship that we hold with it.

Over the years we have heard of many issues regarding RTI submissions and data quality concerns from payroll professionals. Where raised, many of these issues have been seen as having a root cause with the employer / payroll provider. This may be true in some situations; however, it has become increasingly clear that when there are issues for customers with RTI, they find it difficult to reach a resolution.

As you will see from the following case studies, we believe there is a systemic issue with the transfer of data into HMRC's database; subsequently issues are not easy to identify or resolve.

The CIPP believe it is the right thing to call attention to these issues and ask HMRC for greater transparency about internal limitations of the RTI system, which has now been in place for almost 13 years.

Summary of key findings

- Regular errors are occurring with RTI data not being allocated to match the employers' records
- Small employers without Customer Relationship Managers (CRMs) find it hard to get a resolution to RTI queries and issues
- RTI cases are put on hold while the Charge Resolution Team (CRT) works through backlogs, leaving employers and employees with potentially thousands of pounds 'owed' to HMRC
- The CRT gives an estimated timescale to resolve a case in excess of 12 months, sometimes up to two years
- HMRC has been aware of RTI misallocation for a number of years, resulting in both incorrect charges against employers and potentially missed charges, creating a tax gap
- Employers have great difficulty getting accurate and well-informed advice from the employer helpline. With no view of the RTI data HMRC holds, this causes great frustration and time wasted for both employers and HMRC
- Some HMRC employees are able to resolve RTI issues in the backend, however, employers report this as an exception rather than a rule, with customer service representatives stating they may be overreaching their duties in doing so.

Case Studies

Case Study 1

The agent payroll team sent the RTI submission as usual, however two attempts showed an error, and a third submission was accepted and provided a submission code.

The submissions took place in June 2023 and in January / February employees from the client began to complain of 3 June salaries showing on their online tax account.

On first contact with HMRC the agent was told there was nothing they could do to fix the issue and they must liaise with the software provider as it was a software issue. The software provider was able to provide breakdowns of the data sent and verified only one confirmation receipt from HMRC and therefore, this was an error on HMRC's side.

A second contact to HMRC resulted in the adviser recommending an amended Full Payment Submission (FPS) be sent. As the software was showing the correct amounts and this correlated to the data which had confirmation, the software provider was unable/unwilling to send an amended FPS for this data.

On a third conversation with HMRC, the RTI data was discussed, and it was confirmed that the data HMRC held in relation to the employer was correct. As such it was stated by HMRC that it was not an issue that could be rectified by the employer, the individuals affected would need to contact HMRC to arrange amending their tax account.

It transpired that the two failed submission were "partially successful" and had applied some data to the employee records. These changes impacted employees' reported earnings and therefore their tax codes. The employer records and liabilities all showed correctly, Employer Payment Summary figures and tax account showed no outstanding monies owed. As far as the agent was aware, all employees on the submission were affected.

When the client contacted HMRC, they were told that the issue was the fault of the agent, but they had not contacted HMRC. It is unclear whether this is due to a lack of notes on the account, or notes being made elsewhere when contacting as the agent.

As the employer's account was correct with regards to liabilities, but the employees accounts were not, it was left with the employees to contact HMRC individually to rectify the situation.

Notable issues

- "Incomplete" submissions still apply employee data that was sent via RTI
- RTI data troubleshooting was either not offered or not within the remit of the first two advisers
- No ability to rectify by two of the HMRC contacts
- RTI data was confirmed over the phone – while this is ideal, this is not consistent with all customer service representatives.

Case Study 2

This company was entering into administration and had made its final payment to employees and HMRC and submitted the RTI submission to go along with it.

However, an RTI payment was submitted by both the outgoing company and the new administrator for the same month. The funds were only paid to the employees once.

An amended FPS was attempted to be sent, however this failed due to the company being shut down despite an FPS with the final submission confirmation not being sent.

As the company had been wound up, insolvency service references were needed, HMRC dispute charge team were unable to assist on the phone and a long email process with the CRT was needed.

The duplication of one month's data caused employee tax codes to be amended**,** and individuals needed to contact HMRC themselves to investigate the correct tax position.

Entire process to resolve from start to finish took 25 months (November 2020-December 2022), with multiple customer service advisers unable to assist, either through lack of knowledge of systems or misunderstanding of errors.

Notable issues

- If the initial amended FPS had been actioned and applied correctly, the issues may have been resolved and saved two years of employer resource, HMRC customer service resource and HMRC charge resolution resource
- Multiple hours of cost for agent to deal with HMRC, for which they will not be paid by the client / unfactored in cost of business.

Case Study 3

A merger with another firm meant moving payroll records from one system to another. Due to miscommunication, the records were moved across and did not follow HMRC guidance on use of payroll references. We are aware of HMRC's work on building knowledge and awareness of best practice in this area and feel this is getting better. However, where this is not followed there will likely be issues for both the employer and employees.

The government gateway showed around a £6,000 difference in monies owed, this was checked with the payroll software provider and confirmed that no error in data was present. All data for employees was confirmed to be as prior to the transfer (NINO, DoB, Address, etc), but was not matched on HMRC's end.

The first differences on the gateway appeared from October 2022, up to December 2022.

In December 2022 the differences were raised with HMRC, who advised to pay the amounts and less would be requested in future months to balance out. When contested, the member was told that it could take two years for the dispute team to investigate the issue**,** and a hold was put on the money owed.

As part of initial conversations and investigation, a HMRC representative was able to go through the monthly figures to highlight the differences at a company level, however, were not able to do this for each employee individually.

One employee was impacted with an amended tax code, a K code. This was raised to the employer who tried to assist with resolving the issue, however, the employee was reluctant to contact HMRC themselves. The employer contacted HMRC to query whether the tax code received was correct. When speaking to HMRC a customer service representative said they needed to speak to a technician as they "can see more information".

When they came back, they said it was wrong from October 2022 and they can make some amendments their end, but the employer was still concerned that the employee was not receiving any overpaid tax back. The "underpayment" amounts for the individual only amounted to roughly half of the £6,000 owed, so there is potential that other employees are impacted but are unaware of how to resolve or have paid the funds out of fear.

The company decided not to pay the money sitting as owed on the government gateway as it would impact cash flow**,** and it was believed not to be owed. Since initial conversations with HMRC dispute resolution team, no contact has been forthcoming from HMRC, with the estimated timeline for resolution coming to an end in late 2024. As of January 2025, no response has been received.

The employer suspects that a duplication of employee records has occurred due to the initial issues with employee IDs, however, has found dealing with the situation stressful as a parttime payroll administrator with limited resources to address the subsequent issues.

Notable issues

- Company was advised that future months would be rectified, either showing a misunderstanding from the customer service operative or an attempt to cease the current phone conversation.

Case Study 4

A business had an issue with the RTI submission which resulted in differences on the government gateway. With 28 different Pay As You Earn (PAYE) references operated on the same software, this was the only one to go wrong.

A letter asking for an amount owed of £3,500 was received, this was paid due to the threat of being taken to court. No previous letters were received and HMRC advised to pay to stop the court proceedings.

Evidence was supplied to HMRC to support the figures, but the employer was told they were wrong and did not match what was originally submitted. Investigations were carried out with the software provider to identify if there were any issues with set up, however, this was the only error out of all the PAYE references operated, all references had the same system set up.

This amount was put on hold, but after chasing for updates numerous times, a timeline of one year was given for HMRC to investigate. This is now a year down the line and no further communication has been received.

HMRC were unable to see if this had impacted individual employees.

Notable issues

- HMRC advising a business that data which derives from the business are wrong seems like a strange stance to take. HMRC had a unique situation to use this data and conversations to drive compliance action where they think corrections are illegitimate, but chose not to do so, instead sticking steadfast to a system, that seems to make reasonably frequent errors, as gospel.

Case Study 5

An NHS employer encountered issues relating to running individuals through the payroll on multiple pay frequencies, weekly and monthly. Individuals had the same employee reference across the pay frequencies, but different payroll (assignment) numbers, full aggregation of PAYE and National Insurance was in place by the employer, but they were receiving different RTI reference IDs for the same employees and duplicate records were created. These employees are operated under two separate contracts of employment, this is the standard procedure for NHS employees with both substantive and temporary staffing payrolls.

This was a known issue across the ESR (NHS's payroll software) system and was escalated to IBM to investigate and roll out a fix. The issue has now been resolved and no further errors will be present.

Three employees currently have been impacted by this issue. To correct the records of affected workers, the employer completed updated FPS submissions for the end of the tax years affected. However, this did not fully resolve the issues, and the employer was required to write to HMRC detailing the full breakdown for the worker and wait for HMRC to manually resolve the records.

For one of the impacted individuals, three letters have been sent to HMRC and no response has been received. When calling the employer helpline, HMRC will not discuss an individual's tax affairs, and no resolution can be found through this method. For one of the resolved workers, the only correspondence was in the form of an updated tax code which took about four months to receive.

The employer was unable to understand if anyone else had been duplicated until the individual raised it as an issue. IBM and HMRC were unable to provide any further assistance to identify where other individuals are impacted.

Notable issues

- An employer the size of the NHS (or individual NHS trusts) does not have a named contact or specific team to resolve issues, even though any issues they face may affect hundreds of thousands of employees across the UK
- The employer understands the issues present and how the employees should be represented as far as the RTI data is concerned but has no way to easily amend this with HMRC without a lengthy, drawn out and manual process
- Amended FPS submissions, which are deemed to be the correct resolution by HMRC, do not always work as intended or apply correctly.

Case Study 6

In the 2022/23 tax year, this business had an RTI file submitted and retracted by the software provider. The payroll was recalculated and resent. The HMRC tax account then showed a discrepancy of around £6,000.

Speaking to a representative on the phone the business advised that everything was correct, but HMRC stated that the apprenticeship levy was wrong. They were instructed to resubmit the RTIs in the correct order, which was actioned. Then in the following month, an additional amount for around £6,000 was added to the account, bringing the total owed to nearly £13,000. This was accruing interest on a daily basis. HMRC still claimed that this was the apprenticeship levy.

This business managed to source a group mailbox for the CRT where they sent details via email and managed to get a resolution from a named individual. The errors were removed from the account and the money owed from the payroll removed. However, an amount owed in interest was not removed. The amount of interest left does not represent the total interest accrued from the incorrect charges, only some.

The £288 in interest was then subject to a summons letter. The company tried to resolve this through the same inbox but were told that this was not within their remit to sort.

Having been instructed to contact the employer's helpline, they did so and were not assisted in getting the interest removed.

In May 2024, the debt was passed onto a third-party debt collection agency. The employer handled this situation with this agency themselves and has continued to try and resolve the core issue with HMRC directly.

Regular correspondence has been received from HMRC, which has obviously caused issues for the individual handling internal queries from the finance team, who are worried about the outstanding amount from HMRC.

The employer helpline, CRT and online service desk are unable to assist in removing the charge. The initial resolution team that removed the errors state they are unable to assist any further. This leaves the company in question in limbo as to how to proceed, if the error has been seen as a mistake, why is there still interest owed?

Notable issues

- Data input into the RTI system corrupted in some way to show incorrect amounts of apprenticeship levy owed
- Corrections were made but did not completely rectify the account, leaving amounts owed for interest
- Unable to advance the case as portions of it are seen as resolved by HMRC.

Case Study 7

This company made submissions to HMRC without issue for their tax account, only to find the funds moved to be allocated to different tax months, sometimes three months after the fact. This happened on a number of occasions, requiring that the payroll manager log into the company account and check on a regular basis to ensure that all was in the correct place. They confirmed to us that the PAYE references and payment references were all correctly applied. A letter was received from HMRC about outstanding funds, but the letters stated no contact name or details.

They initially assumed a fault in the RTI submission. The payroll software provider investigated and confirmed no issue on the data sent. However, the provider also confirmed other customers had similar issues.

Separately, they had incorrect Year to Date (YTD) figures for employees, causing code notices and tax owed issues for the individuals involved. For one of the employees, they were told they owed around £2,500 and it was the error of the payroll team that needed to be resolved.

With regards to handling the issues with HMRC, the payroll manager found that when customer service representatives couldn't assist**,** they sometimes hung up on the call, without handing over the query to someone who could assist. On one occasion, they were told that security checks had been failed around 15 minutes into a call, after already discussing the matter in detail.

Attempts were made to facilitate a conversation involving an employee, where they could give permission for the employer to speak to HMRC on their behalf. The payroll manager was unsuccessful in getting this to happen and voiced frustration asking**,** "***how do you expect the taxpayer to know about Real Time Information?***"

For the YTD figures they were told that it was the payroll teams**'** issue, this was checked to not be the case and the software provider confirmed details sent to HMRC were correct. HMRC would not provide RTI data they held to rectify or resolve the issue.

On one occasion, after trying to resolve themselves, the payroll manager reached out to a personal friend, who was able to get in touch with someone they knew at HMRC as a favour. The issue was resolved in a short time frame, but they would not provide the contact's name or details.

On another occasion, the payroll manager was "***4th time lucky***" with contacting HMRC and spoke to a customer service representative who could see the issue and resolved it. They would not provide their name, the manager wanted to praise the worker for helping to come to a resolution, they said they may get in trouble for fixing the issue.

Notable issues

- No notes or explanations given for changes on the RTI back-end
- Multiple times the employer's calls were terminated, seemingly when the representative was unable to assist or resolve the issue
- When a representative can resolve the issue, it seems as though they shouldn't have done so and have overstepped their remit.

Supporting information

Other professional bodies and organisations

The CIPP is not the only professional body or organisation to raise similar issues. It is important to note that other research into similar issues has raised concerns.

Other reports that can be referenced in this regard are:

- CIOT and ICAEW report – *Tackling HMRC's customer service challenge*
- National Audit Office's (NAO's) report: *The administrative cost of the tax system*

Further references to CRT issues and employer account errors can be seen in other places. Below are some examples of public statements and articles on the issue. Many such examples have been raised directly to HMRC or discussed on forums viewable by HMRC.

- ICAEW - Resolving HMRC employer liabilities payments account errors | ICAEW
- Incorrect PAYE charge - Community Forum - GOV.UK
- PAYE disputed charges - how many and how long? | AccountingWEB

Capgemini, ETMP and L+P viewer

In a document from Capgemini, the below was stated on HMRC's back-end utilities with regards to the RTI implementation:

"Design innovation
The design for fully digital submission channels, with no back office end-user RTI application, ensures RTI is self-sustaining. With a few minor exceptions, RTI does not need HMRC staff to input or correct data. It uses technology to integrate reporting of PAYE information with businesses payroll processes, significantly reducing effort and minimizing the opportunity for manual error."

It could be argued that this innovation has found itself self-defeating once any data quality issues were allowed to be included in its database data. It is therefore left to assume that the average customer service agent is unable to assist with more complex data quality rectification and that only more senior or Capgemini staff can make these changes. If only Capgemini staff can make changes, this could represent a significant cost to the taxpayer for a process that should be able to be completed by HMRC in-house.

It is our understanding that the Enterprise Tax Management Platform (ETMP) and Liability and Payments (L+P) Viewer hold only a singular data item per employer for the purposes of tax account administration. It therefore seems to be that not all representatives have access to both the RTI core, showing the full breakdowns of employee and employer data, and the ETMP. As the employer dispute is a result of the ETMP figures being misaligned with employer data, it is then raised with the CRT.

Data transfer and reconciliation between the RTI core and ETMP is almost certainly causing discrepancies that employers are in no position to rectify or understand without HMRC assistance. However, the process to get these cases resolved is lengthy and opaque in nature, in some cases causing the individuals handing the case a great deal of stress.

Post implementation review report

Over seven years ago, HMRC published a report looking at the implementation of RTI and analysing the success of various elements. Included in this report is the below extract which highlights some of the issues brought up in this report:

Real Time Information programme - post implementation review - GOV.UK

"Late, missing and incorrect RTI submissions — in many cases the position could be rectified by the employer if they could view their account balance in real time and their previous RTI submissions. Where these issues potentially impact UC claimants, HMRC and DWP staff work collaboratively to identify and proactively address data discrepancies before the information is used in the UC calculation.

"These discrepancies can lead to other financial data discrepancies within our systems which impact individuals and employers. This may result in delayed and/or incorrect end of year tax reconciliations and coding notices and UC payments may not reflect what claimants were expecting.

"Many of the external stakeholders responding to the review were critical of the time we took to resolve discrepancies. They felt that it had been unhelpful for us to label such discrepancies as "disputed charges". Treating the matter as a dispute had sent the wrong signal to employers and their agents and had been interpreted as suggesting that the employer/agent had done something wrong.

"Stakeholders mentioned instances where an employer or agent's query had moved around different parts of HMRC with little transparency over who was taking responsibility to resolve the issue. They were also critical that we had not provided employers with an easy tool to help them identify how a discrepancy had arisen and to self-serve to resolve it.

"We are exploring ways to clear older cases and focus on working with employers and agents to resolve newer cases and target support on improving the quality of future RTI submissions."

It is concerning to see such issues highlighted still being so prevalent, with little public acknowledgement being presented on how these issues are being resolved. As the scope of RTI submission is expanded, such as the mandating of payrolling expenses and benefits data, the impact of errors will only grow and require further resource from HMRC to investigate, rectify and maintain.

This report also explores unallocated credits, stating "*Understanding how a credit has arisen on an employer's account involves similar challenges to understanding why we believe an employer owes an additional amount.*"

The existence of misallocated RTI data which results in charges against employers would imply the existence of the opposite, misallocated refunds or under-charged employers. This is less likely to be reported to HMRC voluntarily by the employer for rectification. If charges are disputed by employers but misallocations in their favour are not, this can create a tax collection gap in HMRC's processes.

Conclusion

There are multiple situations and occasions where RTI data can be incorrect. Regardless of whether this has occurred by employer error or HMRC misallocation there does not seem to be an easy and transparent way to rectify the error. The fact that such errors occur randomly on the RTI back-end is reason enough for a further investigation and actions to be taken.

These case studies are not isolated incidents, members of EPG have raised similar issues on the forum with no further feedback or resolution offered.

Payroll professionals and employers are spending a large amount of time and resource on chasing HMRC to try and resolve issues that make it appear they owe money in error. Having 'monies owed' staying on an account for up to two years can cause a great deal of stress and uncertainty.

Recommendations

The CIPP recommends that:

- HMRC offers greater transparency on the state of RTI and the backlog of RTI issues that are to be resolved
- Should capacity allow, more operational staff are allocated to dealing with the backlog and have dedicated staff on hand to escalate future queries to
- HMRC conducts a comprehensive review of the state of the RTI system, including its capacity for expansion, capability for future changes as well as the ease and cost of ongoing maintenance
- HMRC explores options for allowing employers to engage with the employers' helpline and resolve queries and errors that an employee may be unable to deal with
- Employers and agents be given access to a view of their RTI submissions as they are represented in HMRC's systems, this will allow errors to be identified and more targeted resolutions to be sought
- Should employers and agents be given access to view the RTI record, they should also be given the ability to submit changes or change requests for approval by HMRC.

Should you require clarification of any of the points that have been made in this response, please do not hesitate to contact me or another member of the Policy team.

Yours faithfully

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Supporting organisations

Company Information

The Chartered Institute of Payroll Professionals (CIPP) is the Chartered association for payroll, pensions and reward professionals in the UK. With more than 9,500 individuals benefitting from the CIPP's membership benefits, support and education services, the Institute is dedicated to raising the profile of payroll in businesses across the UK and internationally.
Its education portfolio has been developed based on business and individual needs to ensure that it is providing the most relevant training in the market; while its policy and research team represent the members at government consultation forums on the 185+ pieces of legislation that affect payroll and pensions in the UK, ensuring members are up to date and their views are heard.

The CIPP also offers compliance health checks in payroll processes and procedures to ensure that organisations are complying with legislation to avoid non-compliance penalties, and CIPP members are governed by a code of conduct ensuring they remain highly professional, up to date, and compliant.

The mission statement of the CIPP is:
Leading payroll and pension professionals through education, membership and recognition

Representation

The views of the Chartered Institute are sought and valued by Government departments and other organisations, as witnessed by its representation on bodies ranging from HMRC, and other external Employer Consultation Groups. The Institute, through its Policy team headed up by Samantha O'Sullivan, has been responding to consultation documents and attending consultation meetings for more than 20 years.

As a result of this sustained effort, we have created sound working relationships with the DWP, HMRC, DBT and other Government departments.

The Chartered Institute operates an Advisory Service staffed by professionals able to provide accurate and authoritative advice on a wide range of topics. It also runs national forums which allow members direct contact with representatives from HMRC and other relevant bodies and also provides a forum for members to input and feedback on the CIPP's policies.

Education

The Institute validates and controls a wide range of professional qualifications in both the payroll and pensions sectors, from Payroll Technician Certificate level to Masters level. IPP Education, a wholly owned subsidiary of the CIPP, delivers the qualifications and provides tutors at officially recognised standards. IPP Education also runs a comprehensive range of short training courses throughout the UK.

Events

The CIPP also runs a series of conferences throughout the year, culminating in the Annual Conference and Exhibition.



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